

ESG report - BlackRock

By **Agnes Foss Wiborg**, Chief ESG Officer of SMIF Introduction:

The goal is to delve into recent news about the company, learn about each of its E, S and G, and lastly see how the issues materialise or whether they do so. This month, we have focused on BlackRock. When analysing them, it is important to note how their dependence on a large ecosystem to support it might be more complex/fundamental than that of other asset managers.

About

- The world's largest asset manager with AUM of over \$11 trillion.
- CEO: Larry Fink
- HQ in New York & offices on every continent except for Antarctica.
- Clients include retail investors, institutional investors (the largest group of clients) and official institutions.
- Suppliers include technology firms like Bloomberg, financial services like MSCI, and professional services companies like McKinsey.
- Main competitor: the client-owned investment firm Vanguard, which has a competitive edge over BlackRock as it offers a cost advantage for retail investors (selling low-cost index funds and ETFs). BlackRock, to its advantage, offers a broader range of institutional and alternative strategies.

Definitions

- HQ: Head Quarter
- ESG: Environmental, Social, Governance
- NZAM: a global coalition of asset managers committed to net-zero carbon emissions by 2050
- AUM: Assets Under Management

Recent news

BlackRock has been removed from the state of Texas's list of financial firms restricted from receiving state investments. Listed since 2022 for allegedly 'boycotting' fossil fuels due to its ESG stance, BlackRock's removal allows Texas state funds to reinvest in its products and services. This may boost BlackRock's *AUM* from Texas institutions. The move follows the firm's partial retreat from *ESG* goals, including its 2024 exit from the Net Zero Asset Managers (*NZAM*) initiative and Climate Action 100+, amid growing political pressure. The firm has also scaled back *ESG-only fund offerings* and publicly supported the upcoming Texas Stock Exchange, signalling a strategic shift in response to political pressure. BlackRock still faces an antitrust lawsuit by Texas Attorney-General Ken Paxton related to its ESG practices.

Definitions

Management ESG-only fund offerings:
Investment funds that are exclusively designed to follow ESG criteria when selecting assets

BlackRock: ESG risk assesment

Pillar	Risk Score (0-10)	Key Issues
Environment	7	Loss of public commitment to climate change.
Social	6	Softer language regarding DEI and ESG
Governance	4	Changes in proxy voting guidelines, Texas antitrust lawsuit
Overall ESG Score	6.1	Weighted average: E(30%), S(40%), G(40%)

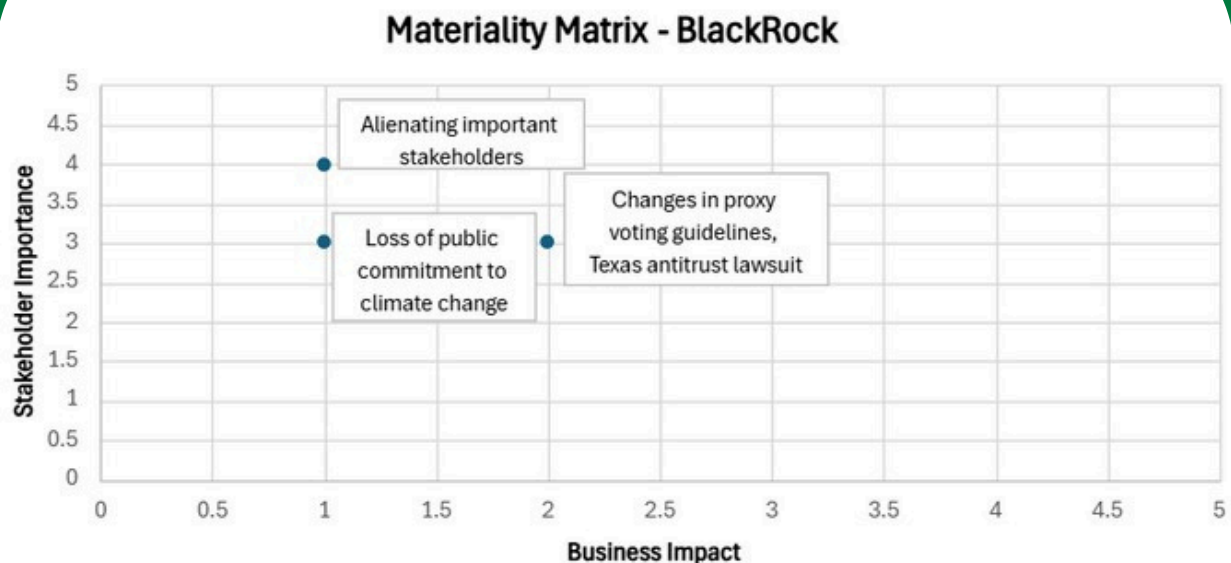
Environment The primary environmental issue related to the news mentioned is “loss of public commitment to climate change”. Even though BlackRock has exited from the Net Zero Asset Managers initiative, many other asset managers, like its competitor, have also left.

Social The risk of alienating important stakeholders, not only following this news, but also more generally, by having implemented a softer language regarding DEI and ESG policies. For instance, in their official documents from 2024 – 2025, BlackRock has removed explicit references to DEI. The limited operational effect keeps the risk from being considered high.

Definitions

Proxy vote: a vote that you do not cast yourself but that is cast by someone who is representing you and voting according to what you want

Governance BlackRock’s proxy voting guidelines have recently begun placing more emphasis on financial materiality rather than ESG goals. In addition, there’s an ongoing legal risk (Texas antitrust lawsuit). The main reason for the antitrust lawsuit is that the state of Texas has said that the firm’s ESG investments have hiked energy prices. However, the governance is still functional, so the governance risk is therefore moderate, not high.



Explanation

When assessing the stakeholder importance, we started by looking at the Social Sentiment Chart to get an overview. This chart shows that there hasn't been any significant change in the Tweet Volume Score in June, which led me to lower the stakeholder importance score for each of the E, S and G.

- **Environment:** This issue is highly connected with the social issue, but focuses more on whether stakeholders care about BlackRock's loss of public commitment than whether it alienates them. Even though newspapers like the Financial Times have written about the issue, it doesn't appear to be an issue that gets much media attention. For these reasons, the environmental issue score is 3 (medium).

- **Social:** The Sierra Club (NGO, which is an external stakeholder) dropped BlackRock as their asset manager.¹ Additionally, CaixaBank has decided to stop using BlackRock's services. Even though CaixaBank has not directly said that it is because of BlackRock's change in ESG, the timing might suggest it. For these reasons, the social issue score is 4 (high).
- **Governance:** It is important to note that Vanguard is also facing the same antitrust lawsuit, which might make the stakeholders less responsive to the issue. Because Gregg Costa, attorney for BlackRock, has expressed that the state of Texas doesn't have solid legal grounds for the lawsuit, it makes the stakeholders seem less concerned. I, therefore, considering everything regarding the lawsuit, choose to give a score of 3 (moderate).

When assessing the business impact, from looking at the quarterly report, there is no direct evidence of the financial performance being hurt by the ESG issues. BlackRock's General and Administrative (G&A) expenses have increased; however, this is due to factors other than the ESG issues mentioned above. BlackRock lost a large institutional client from Asia, which has remained anonymous, leading to lower-than-expected performance.

However, after this, BlackRock's AUM had a spike, which clearly shows that the asset manager's AUM hasn't been affected by the ESG issues mentioned above. Financial figures for BlackRock's legal spending related to the Texas antitrust lawsuit are not made publicly available. Because there is little information about the financial impact of the ESG issues mentioned, low severity has been assigned to all of them. It's worth mentioning that the governance issue has a higher chance of materialising.

E: 1, S: 1, G: 2

Comparing with the rating of other financial institutions

MSCI



iShares MSCI World ESG Enhanced CTB UCITS ETF (EWD) is an ETF managed by BlackRock's iShares brand.

Its MSCI rating, based on the company's holdings as of 31st of July 2025, is AA. MSCI is a division of Morgan Stanley and the ratings look at the company's exposure to industry specific risks. Furthermore, they look at how well the company manages the risks they are exposed to.

Upside with the MSCI rating: its focus on industry comparison makes it easier for investors to look at the MSCI score to know whether to invest with BlackRock or their main competitor Vanguard. **Downside with the MSCI rating:** Their foundation for the rating is not fully publicly available.

Sustainalytics

ESG Risk Rating **COMPREHENSIVE** ?

18.6 Low Risk



Ranking

Industry Group (1st = lowest risk)

Diversified Financials **124** out of 758

Universe

Global Universe **3136** out of 14397

Last Full Update: Feb 4, 2025 ?

Last Update: May 21, 2025 ?

Sustainalytics, a company owned by the financial services firm Morningstar, focuses on the materiality of the company's unmanaged ESG risks. Their ESG rating of BlackRock is 18.6 (classified as low risk).

The Industry Group rating for Diversified Financials is 124 out of 758, which means that BlackRock is approximately at the bottom 16%. The Universe rating for Global Universe is 3136 out of 14397, which means that BlackRock is approximately at the bottom 22 %.

These numbers are in line with the numbers from MSCI and indicate that BlackRock is a leader (like the MSCI rating does). The rating of AA can be interpreted as 100% divided between 7 levels equals approximately 14 % between each level. With that thought, AA means 14 to 28 and these industry ratings (16 and 22%) also fall in that interval.

Note that the last Sustainalytics update is from 21st of May 2025, so it is less recent than the MSCI ratings.

Conclusion

The purpose of the report is (at the end) to bridge ESG to investment decisions for SMIF. Looking at the materiality matrix, none of the ESG issues are considered material. "Alienating important stakeholders" is considered watch closely because the stakeholder importance score is between 3 and 5, and the business impact score is between 1 and 2. The two others are more immaterial. Because of the findings from the materiality matrix, the ESG issues are not likely to have any effect on the stock's performance. Their reputation could be damaged, but as we have already seen how the asset manager has adapted to the Trump administration, they have shown an ability to adapt that they are likely to use again. Any impact on the stock's performance would be short-term. Especially because of the complex and large structure of the firm.

Definitions

- ETF: Exchange-traded fund
- External stakeholder: anyone outside a particular company who is affected by its success or failure

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